SINGAPORE EQUITY RESEARCH

# Oversea-Chinese Banking Corporation

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DBS Group Research | 08 May 2026

## <1Q26 results> Revenue and net profit beat on record total income and non-interest income

### What's New

- Record total income and non-interest income during 1Q26 – led by strong wealth management income growth (+34% y/y, +16% q/q), record customer flow treasury income (Wealth + Wholesale bank) and strong increase in insurance income, good customer loans growth +2% q/q and deposit growth +4% q/q
- -10bps NIM decline is unexpected, though management cited that it is due to strategic increase in NII-accretive high-quality assets by an average 7% on top of declining loan yields
- 2026 guidances maintained

2026 outlook – Maintained

- Total income stable to growing; Slight to moderate decline in NII Mid-single -digit loan growth
- CIR at low -to-mid 40%
- Credit costs in the range of 20 -25 bps
- 50% ordinary dividend payout ratio
- Complete SGD2.5b capital return plan by FY26


### Analyst

Rui Wen Lim | groupresearch@dbs.com


### Key Financial Data (FY Dec)

| | |
|---|---|
| Bloomberg Ticker | OCBC SP |
| Sector | Financials |
| Share Price(SGD) | 21.88 |
| DBS Rating | BUY |
| 12-mth Target Price (SGD) | 25.50 |
| Market Cap (USDbn) | 77.5 |
| 3m Avg. Daily Val (USDmn) | 107.5 |
| Dividend yield (%) | 4.6 |
| Fwd. P/E (x) | 12.4 |
| P/Book (x) | 1.6 |
| ROE (%) | 12.2 |

*Closing Price as of 07/05/2026*

*Source: Twelve Data, DBS, Visible Alpha*

### Oversea-Chinese Banking Corporation Ltd Share Price




*Source: Twelve Data*

| S$m | 1Q26 | 1Q25 | 4Q25 | % y-o-y | % q-o-q | Comments |
|---|---|---|---|---|---|---|
| Total income | 3,828 | 3,655 | 3,616 | 5% | 6% | Ahead of consensus by ~2-3% |
| Net interest income | 2,222 | 2,345 | 2,296 | -5% | -3% | Day-adjusted basis, NII -1% q/q; lower benchmark rates and shorter 1Q partly mitigated by reduction in deposit costs and asset growth |
| Non-interest income | 1,606 | 1,310 | 1,320 | 23% | 22% | Fee income at S$675m (+23% y/y, +12% q/q), improvement in wealth management with growth across all wealth product channels and investment banking fees offset others decline; trading income of S$434m (+10% y/y, +10% q/q) driven by record customer flow income from wealth-related activities and demand for hedging from corporate; and GEH, life and general insurance income at S$409m (+33% y/y, +81% q/q). Banking WM AUM unchanged q/q due to lower market valuations |
| Operating expenses | (1,505) | (1,415) | (1,559) | 6% | -3% | |
| Pre-provision profit | 2,323 | 2,240 | 2,057 | 4% | 13% | |
| Provisions | (216) | (212) | (200) | 2% | 8% | Total allowances at S$216m, 23bps (4Q25: S$200m, 20bps), higher GPs driven by heightened macro uncertainties, including additional management overlays<br>General allowances (stage 1+2): S$191m ,21bps (4Q25: -S$36m, -3bps)<br>Specific allowances (stage 3): S$25m, 4bps (4Q25: S$236m, 23bps) |
| Profit before tax | 2,414 | 2,297 | 2,113 | 5% | 14% | |
| Net profit | 1,974 | 1,883 | 1,745 | 5% | 13% | Ahead of consensus by ~2-3% |
| | | | | | | |
| Dividends per share (Scts) | - | - | 42.0 | n.a. | n.a. | |
| | | | | | | |
| NIM | 1.76% | 2.04% | 1.86% | | | 10bps q/q NIM decline reflected drop in loan yields and strategic increase in NII-accretive high-quality assets by an average 7% |
| NPL | 0.9% | 0.9% | 0.9% | | | New NPA formation lower q/q at S$123m (4Q25: S$399m, last 4 quarters averaged S$282m per quarter) |
| Cost-to-income ratio | 39.3% | 38.7% | 43.1% | | | |
| ROE | 13.0% | 13.0% | 11.6% | | | |
| CET 1 CAR | 17.0% | 17.5% | 16.9% | | | |
| Total CAR | 19.7% | 20.2% | 19.4% | | | Capital ratios remain strong |
| | | | | | | |
| Loan book (net) (S$m) | 342,756 | 317,885 | 336,692 | 8% | 2% | Strong loan growth q/q, broad-based across industries |
| Deposits (S$m) | 443,808 | 402,732 | 428,286 | 10% | 4% | Strong deposit growth q/q; CASA ratio declined slightly q-o-q to 50.2% (4Q25: 50.7%); management cited strategic growth in diversified pool of deposits (both fixed deposits and CASA grew q/q) |
| Loan-to-deposit ratio (net) | 77.2% | 78.9% | 78.6% | | | |

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## Target Price & Ratings History - Oversea-Chinese Banking Corporation Ltd (OCBC_SP_Equity)




| S.No. | Date of Report | Closing Price | 12-mth Target Price | Rating |
|---|---|---|---|---|
| 1 | 07 Apr'25 | 16.62 | 14.40 | HOLD |
| 2 | 04 Aug'25 | 16.79 | 15.80 | HOLD |
| 3 | 09 Nov'25 | 17.78 | 19.80 | BUY |
| 4 | 29 Jan'26 | 21.29 | 23.00 | BUY |
| 5 | 20 Apr'26 | 22.72 | 25.50 | BUY |

Source: DBS
Analyst: Rui Wen Lim

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**STRONG BUY** (>20% total return over the next 3 months, with identifiable share price catalysts within this time frame)
**BUY** (>15% total return over the next 12 months for small caps, >10% for large caps)
**HOLD** (-10% to +15% total return over the next 12 months for small caps, -10% to +10% for large caps)
**FULLY VALUED** (negative total return, i.e., > -10% over the next 12 months)
**SELL** (negative total return of > -20% over the next 3 months, with identifiable share price catalysts within this time frame)

**Share price appreciation + dividends*

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